

chapter 3

Central tendency - Central location

Mean: $X_1, \dots, X_n$ *prone to outliers*

• population mean μ (unknown) parameter

• sample mean $\bar{X} = \frac{1}{n} \sum_{i=1}^n X_i$ random variable

random variable means that can change at different samplings.

$$E[X] = \mu \text{ (unbiased)}$$

mean is unbiased estimator.

Median: insensitive to outliers (extreme values)

sorted

$$X_1^s \dots X_{2n-1}^s \quad n \in \mathbb{Z}$$

X_n

$$X_1^s \dots X_{2n}^s$$
$$\frac{X_n + X_{n+1}}{2}$$

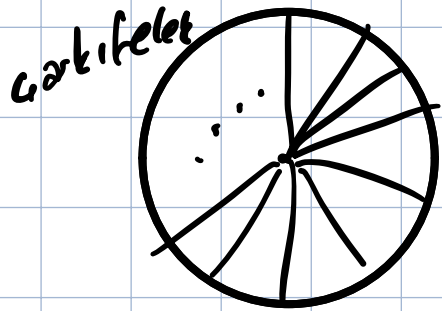
Mode: most observed value

categorical data

Expected Value: mean is a special case that every occurrence has equal probability.

$$EV = \sum_{i=1}^n X_i p_i \quad n \text{ possible outcomes}$$

Ex: \$5 ticket



1	\$50
5	\$15
10	\$5
34	\$0

$$\frac{45 + 50 + 0 - 170}{50} = -\$1.50 \approx$$

$$EV = \frac{1}{50} \cdot 45 + \frac{5}{50} \cdot 10 + \frac{10}{50} \cdot 0 + \frac{34}{50} (-5)$$

proportions for binary data

$$\text{e.g.} = \frac{\# \text{ of } 1\text{s}}{\# \text{ of } 0\text{s and } 1\text{s}}$$

Variability

$$\text{Range: } X_1 \dots X_n \quad \max_{i=1 \dots n} X_i - \min_{i=1 \dots n} X_i$$

single value

Percentiles: $X_1, \dots, X_n \xrightarrow{\text{sort}} X_1^s \dots X_n^s$ sorted
%25
%75

100 sayı varsa %75 den büyük 75. sayı
 75 percentile olur.

50 %ile is the median
percentile

Interquartile range: $X_{75\%} - X_{25\%}$
 single value.

Deviations & Residuals:

Residual: mean value - current value $X_i - \bar{X}$

Ex: 1, 4, 4 mean: $3 = \bar{X}$

$1 - 3 = -2$
 $4 - 3 = 1$
 $4 - 3 = 1$

residuals

deviations from the mean

Mean absolute deviation:

$$\frac{1}{n} \sum_{i=1}^n |X_i - \bar{X}|$$

$$\frac{2 + 1 + 1}{3} = \frac{4}{3}$$

Variance and Standard Deviation

MAD $\frac{1}{n} \sum_{i=1}^n |x_i - \bar{x}|$
 mean abs. dev.

Variance: $\sigma^2 = \frac{1}{n} \sum (x_i - \mu)^2$ σ^2 : variance of population

dof: $n-1$

degrees of freedom

1 to find $\bar{x}$

$$s^2 = \frac{1}{n-1} \sum (x_i - \bar{x})^2$$

unbiased estimator

s^2 : sample variance

$E[s^2] = \sigma^2$: if this, s^2 is unbiased estimator

Euclidian distance:

$$\sqrt{(w_1 - x_1)^2 + \dots + (w_n - x_n)^2}$$

Person	Rock	Hip-Hop	Country	Jazz	New Age
A	7	1	9	1	3
B	4	9	1	3	1
C	9	1	7	2	2

Definition: Vector A vector is a row of numbers. Vector arithmetic is done by performing the operation on the corresponding elements of each vector, resulting in a new vector of sums, differences, products, etc.

The statistic that we have described is "Euclidean Distance." Here is the formula, followed by the calculations.

As a general example, assume we have two vectors, w and x , each containing n values. The Euclidean Distance between the two vectors is

$$\text{Euclidean Distance} = \sqrt{(w_1 - x_1)^2 + (w_2 - x_2)^2 + \dots + (w_n - x_n)^2}$$

If you look carefully at the formula, you might recognize that this is the multidimensional version of the formula for the distance between two points that you may have learned in geometry.

For a specific example, the Euclidean Distance between vectors A and B—a measure of how alike person A is to person B—in Table 3.2 is calculated in Table 3.3.

In Table 3.3, the sum of the squares of the differences of each row is 145. The square root of 145 is 12.04, which is the Euclidean Distance between the two vectors representing person A and person B. Looking back at the data in Table 3.2, try the following problem:

Test Statistics

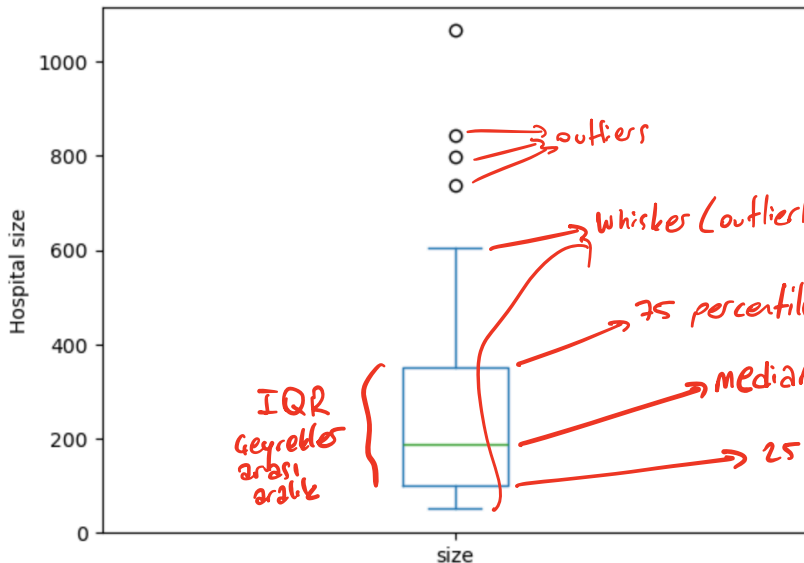
Hypothesis Testing

Hospital Error Reduction

Control mean reduction $\bar{X}_c$
Treatment mean reduction $\bar{X}_t$

$$t_1 = \bar{X}_t - \bar{X}_c$$

$$t_2 = \frac{X_t}{\bar{X}_c} - 1$$



IQR hesabı (whisker)

Üst whisker : $Q_3 + 1.5 \text{ IQR}$ üzerindeki en büyük değer

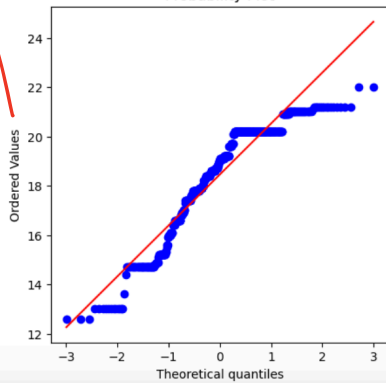
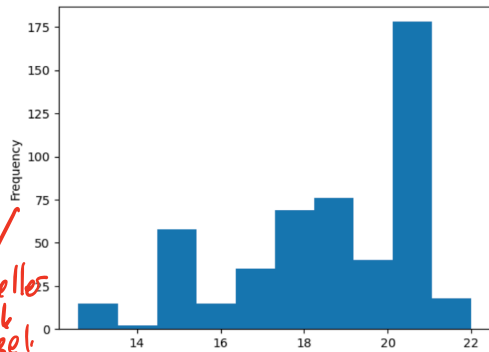
Alt whisker : $Q_1 - 1.5 \text{ IQR}$ altındaki en küçük değer

```
[6]: from scipy import stats

housing = pd.read_csv("boston-housing-large.csv")
housing["PTRATIO"].plot.hist(); #sona noktali virgöl run edildiğinde print edilmemesini sağlıyoruz
fig,ax = plt.subplots(figsize=(5,5))
stats.probplot(housing["PTRATIO"], plot=ax, dist="norm");
```

• histogram bir tarafa yatıksa normal dağılımdan sapmalar vardır.

bu labeller otomatik gel.



histogramdan daha hassas
kırmızı: ideal normal dağılım
mavi: .csv verileri

Chapter 4

Hypothesis testing - Permutation test

Test statistic $\bar{X}_t - \bar{X}_c$

We want to check if $\bar{X}_t > \bar{X}_c$?

X_t : error reduction after treatment

X_c : error reduction in control group

H_0 null hypothesis $\bar{X}_t = \bar{X}_c$

H_1 "alternative" hypothesis (not null, not equal) $\bar{X}_t \neq \bar{X}_c$

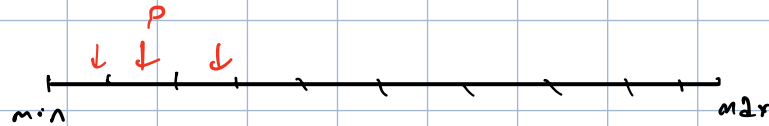
$$\bar{X}_c \geq \bar{X}_t$$

$$\bar{X}_t > \bar{X}_c$$

We would like them to be $N(\mu_t, \sigma_t^2)$, in that case, you
 $N(\mu_c, \sigma_c^2)$ may apply t -test.
 or least $n > 30$ CLT kicks in. (parametric test)

If not, *permutation test*. (non-parametric test)

$C(\frac{50}{25})$ different possibilities (exact test)



P is the probability of getting observed value or more

sinav sorusu

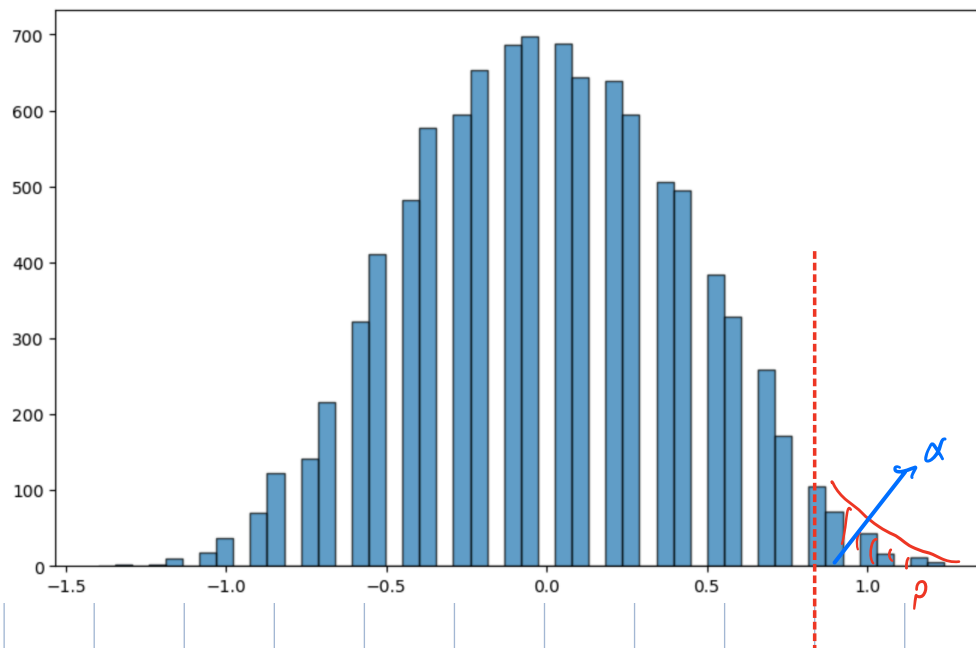
α : Type-1 error probability

*# hibir zaman
accept kullama.
not reject kulan*

$\alpha = 0.05$ if $\alpha > p \Rightarrow$ reject the null hypothesis

Type-1 error: rejecting an H_0 (null hyp.) when you should not have.

Observed difference (Treatment-Control): 0.920



Type-2 error: not rejecting H_0 when you should have.

β : type-2 error probability

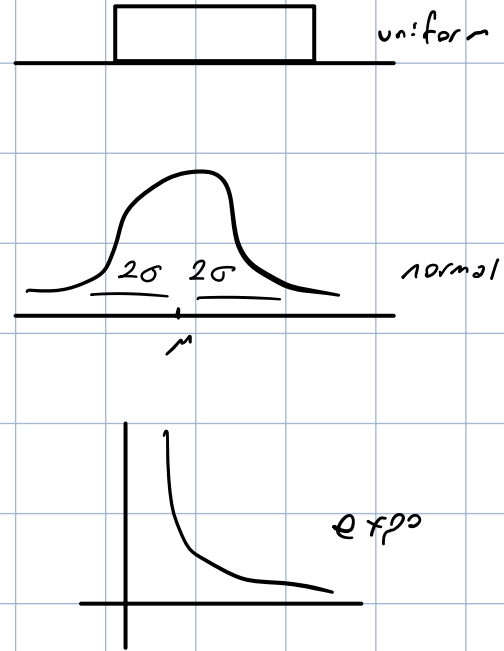
1. Sıfır Hipotezi (H_0) Nedir?

- **Tanım:** Bir deneyin başında kabul edilen "varsayılan" durumdur. $\varnothing$
- **Mantık:** Genellikle "gruplar arasında fark yoktur" veya "tedavinin bir etkisi yoktur" anlamına gelir. $\varnothing$
- **Örnek:** Notlarındaki hastane örneğinde H_0 , "Yeni hata azaltma yöntemi ile eski yöntem arasında bir fark yoktur" demektir. $\varnothing$

2. Tip-1 Hata (Yalancı Pozitif)

Tip-1 hata, **Sıfır Hipotezi aslında doğruyken** (yani gerçekte bir fark yokken), yanlışlıkla onu reddedip "bir fark var" dediğimizde oluşur.

- **İlişki:** H_0 doğru olduğu halde, örneklemden elde edilen verilerin şans eseri uç değerlerde çıkması sonucu araştırmacının " H_0 yanlıştır" sonucuna varmasıdır. $\varnothing$
- **Yanılgı:** Gerçekte hiçbir etkisi olmayan bir ilacın veya yöntemin "işe yarıyor" gibi görünmesidir.
- **Anlamlılık Düzeyi (α):** Tip-1 hata yapma olasılığına α denir. Genellikle bu oran %5 (0.05) olarak belirlenir. Bu, "100 testten 5'inde aslında fark yokken varmış gibi hata yapabilirim" demektir.



Chapter 5

- Binomial distribution (Discrete) PMF, CDF

n independent trials $\begin{cases} \text{success} \\ \text{failure} \end{cases}$

$$\text{Prob} \{X=k\} \quad X: \# \text{ of successes in } n \text{ trials}$$
$$= \frac{n!}{k!(n-k)!} p^k (1-p)^{n-k}$$

- Multinomial distribution *farklı örnekler varsa kullanılır, binomial'da gösterilen her şey burada da gösterilir ama bu advance.*

- De Moivre - Laplace Theorem

As $n \rightarrow \infty$, for a constant p

$$X \overset{\text{distributed}}{\sim} \text{Binomial}(n, p) \xrightarrow{\text{converges}} N(\mu, \sigma^2)$$

$$\mu = n \cdot p, \quad \sigma^2 = n \cdot p \cdot (1-p)$$

Standardizing to a z-score

$$Z = \frac{X - \mu}{\sigma}$$

$$X \sim N(\mu, \sigma^2)$$

$$Z \sim N(0, 1) : \text{standard, normal}$$

$$Z = \frac{X - np}{\sqrt{np(1-p)}}$$

n large, then use Z-table for $\Pr\{X \leq k\}$

$$Z^2 = \frac{(X - np)^2}{np(1-p)}$$

$$Z \sim N(0, 1) \Rightarrow Z^2 \sim \chi^2$$

↗ x değıl, chi

$$Z^2 = \frac{(X - np)^2}{n} \cdot \left(\frac{1}{p} + \frac{1}{1-p} \right) = \frac{(X - np)^2}{np} + \frac{(X - np)^2}{n(1-p)}$$

$$= \frac{(X - np)^2}{np} + \frac{((nX) - n(1-p))^2}{n(1-p)}$$

(n ve -n ekledi)

Two categories ↗ success (p)
↘ failure (1-p)

$$= \frac{(O_s - E_s)^2}{E_s} + \frac{(O_f - E_f)^2}{E_f} \sim \chi^2$$

Pearson's formula

$$E_s = n \cdot p$$

$$E_f = n \cdot (1-p)$$

↗ observed.

$$O_s = x$$

$$O_f = n - x$$

Similarly,

$$\sum_{i=1}^m \frac{(O_i - E_i)^2}{E_i} \sim \chi^2_{m-1}$$

← degrees of freedom

↗ Chi-square test

standard normal dağılımı test

Example

$$n = 100, p = 0.3$$

At least 40 success

$$\binom{n}{k} p^k (1-p)^{n-k} ?$$

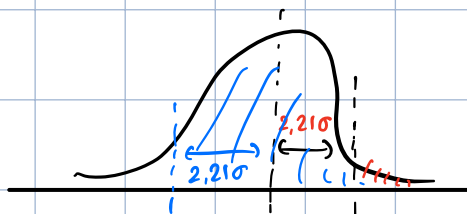
using this
table,
calculate

$$= z = \frac{x - \mu}{\sigma}$$

mean $n \cdot p = 30$

var. $n \cdot p \cdot (1-p) = 21$

$$\frac{(40 - 30)}{\sqrt{21}} = \frac{10}{\sqrt{21}} = 2.21$$



at least: $(1 - 0.0136)$
probability
 $= 1.36 \%$

Z-Score Table (Standard Normal Table)

z	.00	.01	.02	.03	.04	.05	.06	.07	.08	.09
0.0	.5000	.5040	.5080	.5120	.5160	.5199	.5239	.5279	.5319	.5359
0.1	.5398	.5438	.5478	.5517	.5557	.5596	.5636	.5675	.5714	.5753
0.2	.5793	.5832	.5871	.5910	.5948	.5987	.6026	.6064	.6103	.6141
0.3	.6179	.6217	.6255	.6293	.6331	.6368	.6406	.6443	.6480	.6517
0.4	.6554	.6591	.6628	.6664	.6700	.6736	.6772	.6808	.6844	.6879
0.5	.6915	.6950	.6985	.7019	.7054	.7088	.7123	.7157	.7190	.7224
0.6	.7257	.7291	.7324	.7357	.7389	.7422	.7454	.7486	.7517	.7549
0.7	.7580	.7611	.7642	.7673	.7704	.7734	.7764	.7794	.7823	.7852
0.8	.7881	.7910	.7939	.7967	.7995	.8023	.8051	.8078	.8106	.8133
0.9	.8159	.8186	.8212	.8238	.8264	.8289	.8315	.8340	.8365	.8389
1.0	.8413	.8438	.8461	.8485	.8508	.8531	.8554	.8577	.8599	.8621
1.1	.8643	.8665	.8686	.8708	.8729	.8749	.8770	.8790	.8810	.8830
1.2	.8849	.8869	.8888	.8907	.8925	.8944	.8962	.8980	.8997	.9015
1.3	.9032	.9049	.9066	.9082	.9099	.9115	.9131	.9147	.9162	.9177
1.4	.9192	.9207	.9222	.9236	.9251	.9265	.9279	.9292	.9306	.9319
1.5	.9332	.9345	.9357	.9370	.9382	.9394	.9406	.9418	.9429	.9441
1.6	.9452	.9463	.9474	.9484	.9495	.9505	.9515	.9525	.9535	.9545
1.7	.9554	.9564	.9573	.9582	.9591	.9599	.9608	.9616	.9625	.9633
1.8	.9641	.9649	.9656	.9664	.9671	.9678	.9686	.9693	.9699	.9706
1.9	.9713	.9719	.9726	.9732	.9738	.9744	.9750	.9756	.9761	.9767
2.0	.9772	.9778	.9783	.9788	.9793	.9798	.9803	.9808	.9812	.9817
2.1	.9821	.9826	.9830	.9834	.9838	.9842	.9846	.9850	.9854	.9857
2.2	.9861	.9864	.9868	.9871	.9875	.9878	.9881	.9884	.9887	.9890
2.3	.9893	.9896	.9898	.9901	.9904	.9906	.9909	.9911	.9913	.9916
2.4	.9918	.9920	.9922	.9925	.9927	.9929	.9931	.9932	.9934	.9936
2.5	.9938	.9940	.9941	.9943	.9945	.9946	.9948	.9949	.9951	.9952
2.6	.9953	.9955	.9956	.9957	.9959	.9960	.9961	.9962	.9963	.9964
2.7	.9965	.9966	.9967	.9968	.9969	.9970	.9971	.9972	.9973	.9974
2.8	.9974	.9975	.9976	.9977	.9977	.9978	.9979	.9979	.9980	.9981
2.9	.9981	.9982	.9982	.9983	.9984	.9984	.9985	.9985	.9986	.9986
3.0	.9987	.9987	.9987	.9988	.9988	.9989	.9989	.9989	.9990	.9990
3.1	.9990	.9991	.9991	.9991	.9992	.9992	.9992	.9992	.9993	.9993
3.2	.9993	.9993	.9994	.9994	.9994	.9994	.9994	.9995	.9995	.9995
3.3	.9995	.9995	.9995	.9996	.9996	.9996	.9996	.9996	.9997	.9997
3.4	.9997	.9997	.9997	.9997	.9997	.9997	.9997	.9997	.9997	.9998

table 2.1 0.9864

At least 20 success

$$\frac{(20 - 30)}{\sqrt{21}} = -2.21$$

at least: 0.9864

= 98.64 %

Degrees of freedom (df)	Significance level (α)							
	.99	.975	.95	.9	.1	.05	.025	.01
1	0.0001	0.0001	0.0001	0.0001	0.0001	0.0001	0.0001	0.0001
2	0.0200	0.0501	0.1038	0.2111	0.4605	0.5991	0.7378	0.9210
3	0.1115	0.2166	0.3522	0.5844	0.6251	0.7815	0.9348	1.1345
4	0.2927	0.4844	0.7111	1.0641	0.7779	0.9488	1.1143	1.3277
5	0.5544	0.8311	1.1455	1.6101	0.9236	1.1070	1.2833	1.5086
6	0.8721	1.2371	1.6355	2.2041	1.0645	1.2592	1.4449	1.6812
7	1.2391	1.6901	2.1671	2.8331	1.2017	1.4067	1.6013	1.8475
8	1.6446	2.1801	2.7331	3.4901	1.3362	1.5507	1.7535	2.0090
9	2.0881	2.7001	3.3251	4.1681	1.4684	1.6919	1.9023	2.1666
10	2.5581	3.2471	3.9401	4.8651	1.5987	1.8307	2.0483	2.3209
11	3.0531	3.8161	4.5751	5.5781	1.7275	1.9675	2.1920	2.4725
12	3.5711	4.4041	5.2261	6.3041	1.8549	2.1026	2.3337	2.6217
13	4.1071	5.0091	5.8921	7.0421	1.9812	2.2362	2.4736	2.7688
14	4.6601	5.6291	6.5711	7.7901	2.1064	2.3685	2.6119	2.9141
15	5.2291	6.2621	7.2611	8.5471	2.2307	2.4996	2.7488	3.0578
16	5.8121	6.9081	7.9621	9.3121	2.3542	2.6296	2.8845	3.2000
17	6.4081	7.5641	8.6721	10.0851	2.4769	2.7587	3.0191	3.3409
18	7.0151	8.2311	9.3901	10.8651	2.5989	2.8869	3.1526	3.4805
19	7.6331	8.9071	10.1171	11.6511	2.7204	3.0144	3.2852	3.6191
20	8.2601	9.5911	10.8511	12.4431	2.8412	3.1410	3.4170	3.7566
21	8.8971	10.2831	11.5911	13.2401	2.9615	3.2671	3.5479	3.8932
22	9.5421	10.9821	12.3381	14.0411	3.0813	3.3924	3.6781	4.0289
23	10.1961	11.6891	13.0911	14.8481	3.2007	3.5172	3.8076	4.1638
24	10.8561	12.4011	13.8481	15.6591	3.3196	3.6415	3.9364	4.2980
25	11.5241	13.1201	14.6111	16.4731	3.4382	3.7652	4.0646	4.4314
26	12.1981	13.8441	15.3791	17.2921	3.5563	3.8885	4.1923	4.5642
27	12.8791	14.5731	16.1511	18.1141	3.6741	4.0113	4.3195	4.6963
28	13.5651	15.3081	16.9281	18.9391	3.7916	4.1337	4.4461	4.8278
29	14.2561	16.0471	17.7081	19.7681	3.9087	4.2557	4.5722	4.9588
30	14.9531	16.7911	18.4931	20.5991	4.0256	4.3773	4.6979	5.0892
40	22.1641	24.4331	26.5091	29.0511	51.8051	55.7581	59.3421	63.6911
50	29.7071	32.3571	34.7641	37.6891	63.1671	67.5051	71.4201	76.1541
60	37.4851	40.4821	43.1881	46.4591	74.3971	79.0821	83.2981	88.3791
70	45.4421	48.7581	51.7391	55.3291	85.5271	90.5311	95.0231	100.4251
80	53.5401	57.1531	60.3911	64.2781	96.5781	101.8791	106.6291	112.3291
100	61.7541	65.6471	69.1261	73.2911	107.5651	113.1451	118.1361	124.1161
1000	70.0651	74.2221	77.9291	82.3581	118.4981	124.3421	129.5611	135.8071

Chi-square table

Chapter 6

Conditional Probability

$$Pr\{X=x\}$$

X : # of goals scored

$x=0$ 30 %

$x=1$ 45 %

$x=2$ 20 %

$x=3+$ 5 %

Y : information (Osimhen not playing)

$$Pr\{X=x | Y\} \text{ prob of } X=x \text{ given } Y$$

$x=0$ 60 %

$x=1$ 35 %

$x=2$ 5 %

$Pr(\text{Acceptance to } x | \text{female})$

• Berkley ödev: Hw
chi square test

Consider a medical screening test that gives a positive result in 98% of the cases where the condition is present but also gives a false positive result in 3% of cases where the condition is not present. Suppose 0.1% of the people we screen actually have the condition (to pick an actual disease, this is the approximate prevalence of juvenile arthritis).



If you test positive, what is the probability that you have the disease?

given

$$Pr\{X=1 | H=1\} = 98\%$$

$$Pr\{X=1 | H=0\} = 3\%$$

$$Pr\{H=1\} = 0,1\%$$

question

$$Pr\{H=1 | X=1\} = ?$$

X : outcome

H : health cond.

"CRIM_RM"]])

n Results

```
=====
~squared:      0.491
dj. R-squared: 0.485
~statistic:    84.43
rob (F-statistic): 2.74e-38
og-Likelihood: -702.63
IC:            1413.
IC:            1428.
```

```
=====
t      P>|t|      [0.025      0.975]
80      0.030     -14.510     -0.737
90      0.001       0.501     1.993
63      0.000       3.551     5.809
07      0.000     -0.416     -0.167
=====
```

```
urbin-Watson:      1.860
arque-Bera (JB):    38.218
rob(JB):            5.02e-09
ond. No.            650.
```

$$\} = \frac{Pr(A \cap B)}{Pr(B)}$$

$$Pr(B) \cdot Pr(A|B) = Pr(A \cap B) = Pr(A) \cdot Pr(A|B)$$

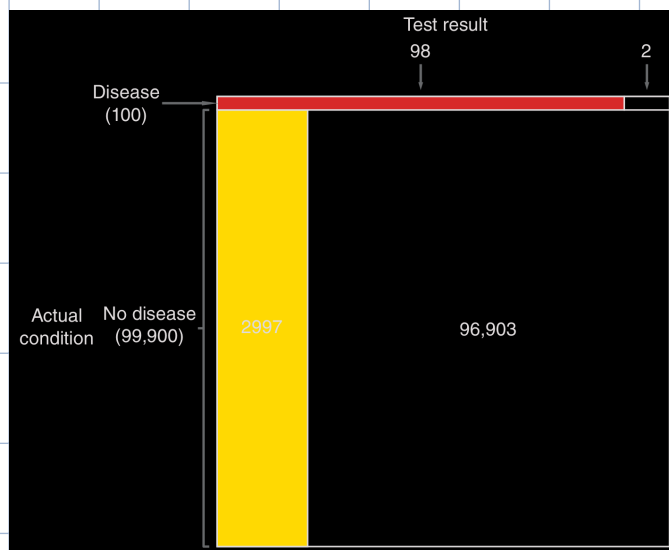
$$Pr(H=1 | X=1) = \frac{Pr(H=1, X=1)}{Pr(X=1)}$$

$$Pr(A) = Pr(A|B) \cdot Pr(B) + Pr(A|B^c) \cdot Pr(B^c)$$

$$= \frac{Pr(H=1, X=1)}{Pr(X=1 | H=1) \cdot Pr(H=1) + Pr(X=1 | H=0) \cdot Pr(H=0)}$$

$$= \frac{Pr(X=1 | H=1) \cdot Pr(H=1)}{Pr(X=1 | H=1) \cdot Pr(H=1) + Pr(X=1 | H=0) \cdot Pr(H=0)}$$

$$= \frac{0,98 \cdot 0,001}{0,98 \cdot 0,001 + 0,09 \cdot 0,999} = 0,0316$$



Bayesian calculation

$$Pr = \frac{98}{98 + 2997} = 0,0316$$

Independence

$$Pr(X=x | Y) = Pr(X=x)$$

Chi square test (Hypothesis testing)

Does the calibration requirement depend on the state?

H_0 : recalibration does not depend on the state.

	+	-	
TX	25	175	200
CA	17	183	200

observed

42 | 400

	+	-
TX	21	179
CA	21	179

expected (null hyp.)

$$\sum_{i=1}^k \frac{(O_i - E_i)^2}{E_i} \sim \chi^2$$

bu chi2 tablosunda: hiçbir deger 5'ten küçük olmaz. ≥ 5

dof=1, degistirebilecegimiz tek variable var

$$\text{dof} = (r-1)(c-1)$$

{row-1, column-1}

$$= \frac{(25-21)^2}{21} + \frac{(17-21)^2}{21} + \frac{(175-179)^2}{179} + \frac{(183-179)^2}{179} = 1.703$$

chi-sq tableda dof=1 için 0,05 deger: $\chi^2_{1,0.05} = 3.841$

$$\chi^2_0 = 1.703 < \chi^2_{1,0.05} = 3.841$$

do not reject H_0

* chi-sq test kesin soru sorusu

* yineki chi2 ve z table gıktısını al, hesap makinesi al.

* multiple choice : what is p value gibi

* hard calculations 2 or 3 questions

* coding 2 or 3

* ders notu ve kitapten chi2 - chi6 gıktısını al

t-tests:

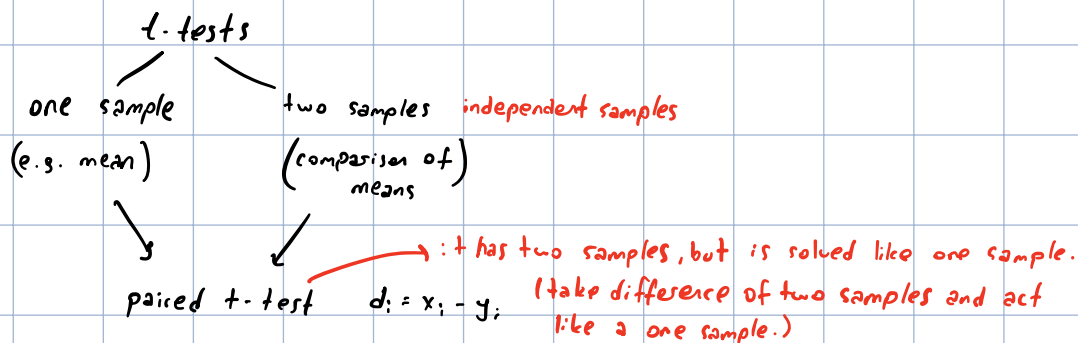
/ alternative to permutation test

hypothesis testing for

- unknown variance $\rightarrow \sigma$ is known 2-test
- small number of samples

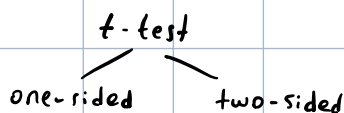
conditions:

- numeric and continuous (blood pressure, weight, exam scores)
- independence of observations
- approximate normality or large sample ($n \geq 30$)
Q-Q plot



- one sample test $x_j \sim N$

- two sample test $\left. \begin{array}{l} x_i \sim N(\mu_i, \sigma_i) \\ y_j \sim N(\mu_j, \sigma_j) \end{array} \right\} \text{paired t-test } d_i = x_i - y_i \sim N(,)$



One-sample two-sided test

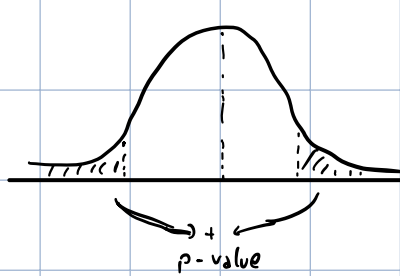
$$H_0: \mu = \mu_0$$

$$H_1: \mu \neq \mu_0$$

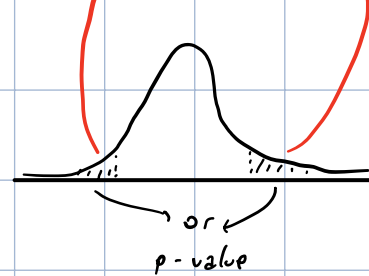
One-sample one-sided test

$$H_0: \mu \geq \mu_0 \quad \text{or} \quad \mu \leq \mu_0$$

$$H_1: \mu < \mu_0 \quad \text{or} \quad \mu > \mu_0$$



$|t|$ vs. $t_{\alpha/2, n-1}$



t vs. $t_{\alpha, n-1}$

test statistic

$$x_1, x_2, \dots, x_n \sim N(\mu, \sigma)$$

mean: $\bar{x}$, s

$$\bar{x} = \frac{1}{n} \sum_{i=1}^n x_i \quad s = \sqrt{\frac{1}{n-1} \sum_{i=1}^n (x_i - \bar{x})^2}$$

t-statistic

$$t = \frac{\bar{x} - \mu_0}{s/\sqrt{n}}$$

r: dof $v = n-1$

two-sided

Ex:

$\mu_0 = 500$ gr

$n = 12$ bags

data: 483, 471, 478, 465

460, 463, 474, 458

472, 466, 461, 475

$H_0: \mu = 500$

$H_1: \mu \neq 500$

$\alpha = 0,005$

$\bar{x} = 468.33$ gr

$s = 7.63$ gr

$$t = \frac{468.33 - 500}{7.63/\sqrt{12}} = \frac{-30.67}{2.20} = -13.93$$

t-table

$$t_{\alpha/2, n-1} = t_{0,0025, 11} = 2,201$$

because
two-sided

since $|-13.93| \geq 2,201$

reject H_0

Two sample (welch) t-test

$x_i \sim N(\mu_1, \sigma_1) \quad n_1$

$y_i \sim N(\mu_2, \sigma_2) \quad n_2$

two-sided

$\cdot H_0: \mu_1 = \mu_2$

$\cdot H_1: \mu_1 \neq \mu_2$

one-sided

$\cdot H_0: \mu_1 > \mu_2$

$\cdot H_1: \mu_1 < \mu_2$

$\cdot H_0: \mu_1 \leq \mu_2$

$\cdot H_1: \mu_1 > \mu_2$

Ex: Octane booster

H₀: octane booster does not improve 0-100 km/h performance : different sets of cars

$$t = \frac{\bar{x} - \bar{y}}{\sqrt{\frac{s_x^2}{n_1} + \frac{s_y^2}{n_2}}}$$

$$d.o.f. = \left\lfloor \frac{\left(\frac{s_1^2}{n_1} + \frac{s_2^2}{n_2} \right)^2}{\frac{(s_1^2/n_1)^2}{n_1-1} + \frac{(s_2^2/n_2)^2}{n_2-1}} \right\rfloor \rightarrow \text{floor of this value.}$$

Paired t-test

multi-commodity

MC: $x_1, x_2, \dots, x_n$ optimality gaps

SC: $y_1, y_2, \dots, y_n$ lower is the better

single-commodity

the same number of samples

$$d_i = x_i - y_i, \quad i = 1, 2, \dots, n$$

check if $d \sim N(,)$ or $n \geq 30$

Q-Q plot

$$\bar{d}, s_d \quad t = \frac{\bar{d}}{s_d / \sqrt{n}}$$

Ex: Solution times

MC: 15.2 14.8 16.5 15.0 15.9 14.5 16.2 15.3 14.7 16.0

SC: 12.5 13.0 12.8 13.5 12.2 13.1 12.7 12.9 13.3 12.4

d: 2.7 1.8 3.7 1.5 3.7 1.4 3.5 2.4 1.4 3.6

$$H_0: \mu_d = 0$$

$$H_1: \mu_d \neq 0$$

$$\alpha = 0.05$$

$$\bar{d} = 2.57 \text{ sec}$$

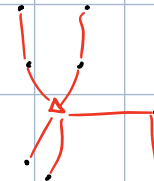
$$s_d = 1.00 \text{ sec}$$

$$t = \frac{2.57}{1/\sqrt{10}} = 8.13$$

$$dof \quad v = 9$$

$$t_{\alpha/2, 9} = 2.262$$

since $|t| = 8.13 \geq t_{0.025, 9} = 2.262$
reject H₀



facility location, network design
multi-commodity 2-indexes d.v.
single-commodity 2-indexes dec.var.
For 30 nodes, 50 random setup (instances)

One Tail T-Table											
cum. prob.	t _{.50}	t _{.75}	t _{.90}	t _{.95}	t _{.975}	t _{.99}	t _{.995}	t _{.9975}	t _{.999}	t _{.9995}	
	0.50	0.25	0.20	0.15	0.10	0.05	0.025	0.01	0.005	0.001	0.0005
df											
1	0.000	1.000	1.378	1.963	3.078	6.314	12.71	31.82	63.66	318.31	636.62
2	0.000	0.816	1.061	1.386	1.888	2.920	4.303	6.965	9.925	22.327	31.599
3	0.000	0.765	0.978	1.250	1.638	2.353	3.182	5.441	5.841	10.215	12.924
4	0.000	0.741	0.941	1.190	1.533	2.132	2.776	3.747	4.004	7.173	8.610
5	0.000	0.727	0.920	1.156	1.476	2.015	2.571	3.365	3.589	5.893	6.869
6	0.000	0.718	0.906	1.134	1.440	1.943	2.447	3.143	3.307	5.208	5.959
7	0.000	0.711	0.896	1.119	1.415	1.895	2.365	2.998	3.149	4.785	5.408
8	0.000	0.706	0.889	1.108	1.397	1.860	2.306	2.896	3.055	4.501	5.041
9	0.000	0.703	0.883	1.100	1.383	1.833	2.282	2.821	2.922	4.297	4.781
10	0.000	0.700	0.879	1.093	1.372	1.812	2.228	2.764	2.839	4.144	4.587
11	0.000	0.697	0.875	1.088	1.363	1.796	2.201	2.718	2.806	4.025	4.437
12	0.000	0.695	0.873	1.083	1.356	1.782	2.179	2.681	2.805	3.930	4.318
13	0.000	0.694	0.870	1.079	1.350	1.771	2.160	2.650	2.793	3.852	4.221
14	0.000	0.692	0.868	1.076	1.345	1.761	2.145	2.624	2.797	3.787	4.140
15	0.000	0.691	0.866	1.074	1.341	1.753	2.131	2.602	2.794	3.743	4.073
16	0.000	0.690	0.865	1.071	1.337	1.746	2.120	2.583	2.792	3.686	4.015
17	0.000	0.689	0.863	1.069	1.333	1.740	2.110	2.567	2.790	3.647	3.965
18	0.000	0.688	0.862	1.067	1.330	1.734	2.101	2.552	2.788	3.610	3.922
19	0.000	0.688	0.861	1.066	1.328	1.729	2.093	2.539	2.801	3.579	3.883
20	0.000	0.687	0.860	1.064	1.325	1.725	2.086	2.528	2.800	3.552	3.850
21	0.000	0.686	0.859	1.063	1.323	1.721	2.080	2.518	2.831	3.527	3.819
22	0.000	0.686	0.858	1.061	1.321	1.717	2.074	2.508	2.819	3.505	3.792
23	0.000	0.685	0.858	1.060	1.319	1.714	2.069	2.500	2.807	3.485	3.768
24	0.000	0.685	0.857	1.059	1.318	1.711	2.064	2.492	2.797	3.467	3.745
25	0.000	0.684	0.856	1.058	1.316	1.708	2.060	2.485	2.787	3.450	3.725
26	0.000	0.684	0.856	1.058	1.315	1.706	2.056	2.479	2.779	3.435	3.707
27	0.000	0.684	0.855	1.057	1.314	1.703	2.052	2.473	2.771	3.421	3.690
28	0.000	0.683	0.855	1.056	1.313	1.701	2.048	2.467	2.763	3.408	3.674
29	0.000	0.683	0.854	1.055	1.311	1.699	2.045	2.462	2.756	3.396	3.659
30	0.000	0.683	0.854	1.055	1.310	1.697	2.042	2.457	2.750	3.385	3.646
40	0.000	0.681	0.851	1.050	1.303	1.684	2.021	2.423	2.704	3.307	3.551
60	0.000	0.679	0.848	1.045	1.296	1.671	1.990	2.390	2.660	3.232	3.460
80	0.000	0.678	0.846	1.043	1.292	1.664	1.990	2.374	2.639	3.195	3.416
100	0.000	0.677	0.845	1.042	1.290	1.660	1.984	2.364	2.626	3.174	3.390
1000	0.000	0.675	0.842	1.037	1.282	1.646	1.962	2.330	2.581	3.098	3.300
Z	0.000	0.674	0.842	1.036	1.282	1.645	1.960	2.326	2.576	3.090	3.291
	0%	50%	60%	70%	80%	90%	95%	98%	99%	99.8%	99.9%
	Confidence Level										

Confidence Level

Confidence Intervals & Bootstrapping for the mean

$X_1, \dots, X_n \sim N$ or $n \geq 30$

$\bar{x}$ point estimate

Confidence Interval CI $\left(\bar{x} - t_{\alpha/2, n-1}(\text{s.e.}), \bar{x} + t_{\alpha/2, n-1}(\text{s.e.}) \right)$ for $(1-\alpha)$ confidence

s.e : standard error
 $= \frac{s}{\sqrt{n}}$

If these are not satisfied : Bootstrapping *kesin sinav sorusu*

Table 8.1 Marriage therapy. *observed values O_i*

	Happily Married	Distress Married	Divorced
Behavioral	15	3	11
Insight	24	5	1

H_0 : The marriage status does not depend on the therapy type

$E_i = \frac{39}{59} \cdot 29$

$E_i = \frac{8}{59} \cdot 29$

$E_i = \frac{12}{59} \cdot 30$

$E_i = \frac{39}{59} \cdot 30$

$E_i = \frac{8}{59} \cdot 30$

Table 8.2 Expected outcomes if treatments yield the same results.

	Happily Married	Distress Married	Divorced
Behavioral	19.17	3.93	5.90
Insight	19.83	4.07	6.10

Expected table

> 5, so okay

then, we need to combine distress married data with smt.

Table 8.3 Absolute difference between observed and expected.

	Happily Married	Distress Married	Divorced
Behavioral	4.17	0.93	5.11
Insight	4.17	0.93	5.11

not okay since chi sq test requires > 5

Goodness of Fit

H_0 : These numbers are samples uniformly. equal prob of $1/10$ for selection
315 samples

Digit	Observed Frequency	Expected	Diff	Diff ² /E
0	14	31.5	17.5	9.72
1	71	31.5	39.5	49.53
2	7	31.5	24.5	19.05
3	65	31.5	33.5	35.63
4	23	31.5	8.5	2.29
5	19	31.5	12.5	4.96
6	12	31.5	19.5	12.07
7	45	31.5	13.5	5.78
8	53	31.5	21.5	14.62
9	6	31.5	25.5	20.64

+
174.34

$$\text{dof} = 10 - 1 = 9$$

from chi-square table: $\chi_{0.05,9} = 16.919$ $\swarrow$ so, reject H_0 .

	Fat 1	Fat 2	Fat 3	Fat 4
Replication 1	164	178	175	155
Replication 2	172	191	193	166
Replication 3	168	197	178	149
Replication 4	177	182	171	164
Replication 5	156	185	163	170
Replication 6	195	177	176	168
Average	172	185	176	162

we need to compare 1 by 1.

H_0 : they have the same mean

$(1-\alpha)$: prob of not making an error.

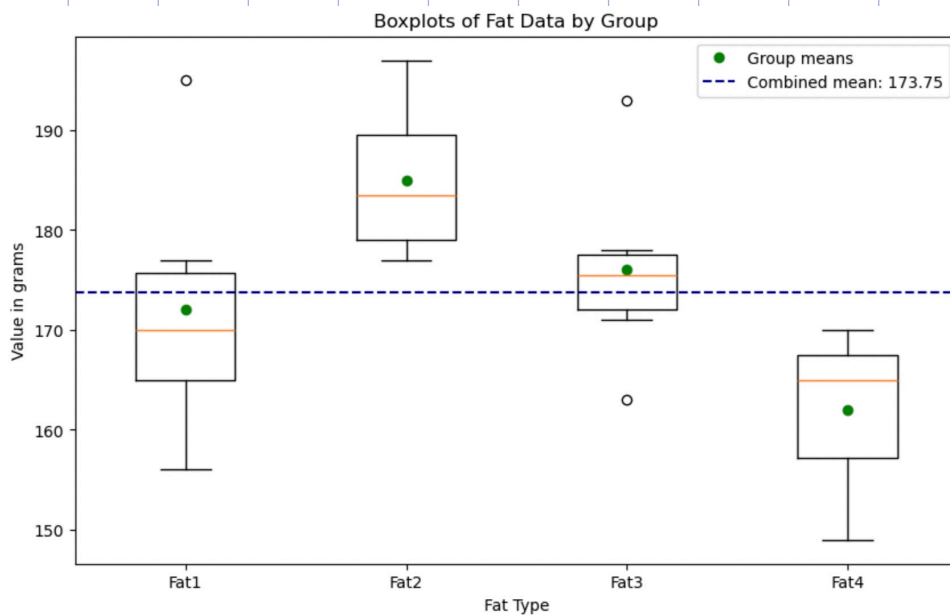
$(1-\alpha) \cdot (1-\alpha) \cdot (1-\alpha)$ 3 test yapıldığı için

showing that fat4 has a higher Type-1 prob than α .

Eğer $\alpha = 0.05$ seçilirse küpü 0.163 olur. GÖK BÜYÜK!!!

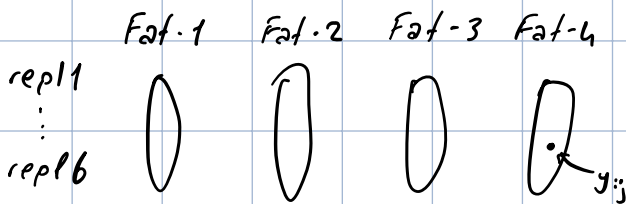
Bu yüzden α baste daha küçük seçilmeli.

ANOVA: Analysis of Variance



Analysis of Variance

One-way ANOVA



$$H_0: \mu_1 = \mu_2 = \mu_3 = \mu_4$$

$$\binom{4}{2} = 6$$

$$\alpha_r: \text{Type-1 error} \quad 1 - (1 - \alpha_r)^b: \text{Type-1 error}$$

• If you have the need to run multiple t-tests (3+) at once, that will inflate the type-1 error probability.

ANOVA solution

Compute the distinct type of variances

- Between group variance "signal"
- Within group variance "noise"

Logic: If signal > noise, the group means μ_i are different

Assumptions:

- Independence
- Normality
- Variances are roughly equal

$$y_{ij} = \underbrace{\mu}_{\text{signal}} + \underbrace{\tau_i}_{\text{noise}} + \underbrace{\epsilon_{ij}}_{\text{noise}}$$

μ : overall mean → grand mean
 τ_i : correction term for group: avg. ($\mu + \tau_i$: avg. of i th group) → treatment effect
 ϵ_{ij} : deviation y_{ij} from the group mean $\mu + \tau_i$ → random error

$$H_0: \mu_1 = \mu_2 = \mu_3 = \mu_4$$

H_1 : at least one group mean is different.

Evaluating EV Battery Architecture

Goal: Compare fast-charging times (20% - 80%) of three battery type.

Groups ($k=3$) LFP, NMC, NCA

Battery Type	Times (s)	Group Mean	Grand Mean
LFP	28,30,29,31	29,5	24,67
NMC	22,24,25,23	23,5	
NCA	20,21,23,20	21,0	

Partition the Variance

$$SS_{total} = SS_{between} + SS_{within}$$

$$\sum_i \sum_j (y_{ij} - \mu)^2 = \sum_i \sum_j (\mu_i - \mu)^2 + \sum_i \sum_j (y_{ij} - \mu_i)^2$$

$$SS_{between} = 4 \cdot (29,5 - 24,67)^2 + 4 \cdot (23,5 - 24,67)^2 + 4 \cdot (21 - 24,67)^2 = 152,67 \quad \text{related to } var(\tau_i)$$

$$SS_{within} = (28 - 29,5)^2 + (30 - 29,5)^2 + \dots = 16 \quad \text{related to } var(\epsilon_{ij})$$

ANOVA Table (sinavda gikacak)

Source	SS	df	Mean Square	F-Statistic
Between	152,67	$k-1=2$	$152,67/2 = 76,33$	$F = 76,33/1,78 = 42,88$
Within	16	$N-k=9$	$16/9 = 1,78$	
Total	168,67	$N-1=11$		

The F-Statistic $F = \frac{MS_{between}}{MS_{within}} = \frac{\text{signal}}{\text{noise}} \quad \text{SNR}$

for $\alpha = 0.05$

From F Table $F_{2,9} = 4,2565$ critical value
 $F > F_{2,9}$ reject H_0

Critical Values of the F-Distribution: $\alpha = 0.05$

Denom. d.f.	Numerator Degrees of Freedom									
	1	2	3	4	5	6	7	8	9	10
1	161.448	199.500	215.707	224.583	230.162	233.986	236.768	238.883	240.543	241.882
2	18.513	19.000	19.164	19.247	19.296	19.330	19.353	19.371	19.385	19.396
3	10.128	9.552	9.277	9.117	9.013	8.941	8.887	8.845	8.812	8.786
4	7.709	6.944	6.591	6.388	6.256	6.163	6.094	6.041	5.999	5.964
5	6.608	5.786	5.409	5.192	5.050	4.950	4.876	4.818	4.772	4.735
6	5.987	5.143	4.757	4.534	4.387	4.284	4.207	4.147	4.099	4.060
7	5.591	4.737	4.347	4.120	3.972	3.866	3.787	3.726	3.677	3.637
8	5.318	4.459	4.066	3.838	3.687	3.581	3.500	3.438	3.388	3.347
9	5.117	4.256	3.863	3.633	3.482	3.374	3.293	3.230	3.179	3.137
10	4.965	4.103	3.708	3.478	3.326	3.217	3.135	3.072	3.020	2.978
11	4.844	3.982	3.587	3.357	3.204	3.095	3.012	2.948	2.896	2.854
12	4.747	3.885	3.490	3.259	3.106	2.996	2.913	2.849	2.796	2.753
13	4.667	3.806	3.411	3.179	3.025	2.915	2.832	2.767	2.714	2.671
14	4.600	3.739	3.344	3.112	2.958	2.848	2.764	2.699	2.646	2.602
15	4.543	3.682	3.287	3.056	2.901	2.790	2.707	2.641	2.588	2.544
16	4.494	3.634	3.239	3.007	2.852	2.741	2.657	2.591	2.538	2.494
17	4.451	3.592	3.197	2.965	2.810	2.699	2.614	2.548	2.494	2.450
18	4.414	3.555	3.160	2.928	2.773	2.661	2.577	2.510	2.456	2.412
19	4.381	3.522	3.127	2.895	2.740	2.628	2.544	2.477	2.423	2.378
20	4.351	3.493	3.098	2.866	2.711	2.599	2.514	2.447	2.393	2.348
21	4.325	3.467	3.072	2.840	2.685	2.573	2.488	2.420	2.366	2.321
22	4.301	3.443	3.049	2.817	2.661	2.549	2.464	2.397	2.342	2.297
23	4.279	3.422	3.028	2.796	2.640	2.528	2.442	2.375	2.320	2.275
24	4.260	3.403	3.009	2.776	2.620	2.508	2.423	2.355	2.300	2.255
25	4.242	3.385	2.991	2.759	2.603	2.490	2.405	2.337	2.282	2.236
26	4.225	3.369	2.975	2.743	2.587	2.474	2.388	2.321	2.265	2.220
27	4.210	3.354	2.960	2.728	2.572	2.459	2.373	2.305	2.250	2.204
28	4.196	3.340	2.947	2.714	2.558	2.445	2.359	2.291	2.236	2.190
29	4.183	3.328	2.934	2.701	2.545	2.432	2.346	2.278	2.223	2.177
30	4.171	3.316	2.922	2.690	2.534	2.421	2.334	2.266	2.211	2.165
31	4.160	3.305	2.911	2.679	2.523	2.409	2.323	2.255	2.199	2.153
32	4.149	3.295	2.901	2.668	2.512	2.399	2.313	2.244	2.189	2.142
33	4.139	3.285	2.892	2.659	2.503	2.389	2.303	2.235	2.179	2.133

Special Case: (Anova 3 veya daha fazla grup olursa kulln).

When comparing exactly two groups, one-way ANOVA and independent two-sample t-test are mathematically identical.

$$F = t^2$$

Observations		Grand average
(164 178 175 155)		(173.75 173.75 173.75 173.75)
172 191 193 166		173.75 173.75 173.75 173.75
168 197 178 149	=	173.75 173.75 173.75 173.75
177 182 171 164		173.75 173.75 173.75 173.75
156 185 163 170		173.75 173.75 173.75 173.75
195 177 176 168		173.75 173.75 173.75 173.75
Treatment effect		Residual error
(-1.75 11.25 2.25 -11.75)		(-8.0 -7.0 -1.0 -7.0)
-1.75 11.25 2.25 -11.75		0.0 6.0 17.0 4.0
-1.75 11.25 2.25 -11.75		-4.0 12.0 2.0 -13.0
-1.75 11.25 2.25 -11.75	+	5.0 -3.0 -5.0 2.0
-1.75 11.25 2.25 -11.75		-16.0 0.0 -13.0 8.0
-1.75 11.25 2.25 -11.75	+	23.0 -8.0 0.0 6.0

$$y_{ij} = \mu + \tau_i + \epsilon_{ij}$$

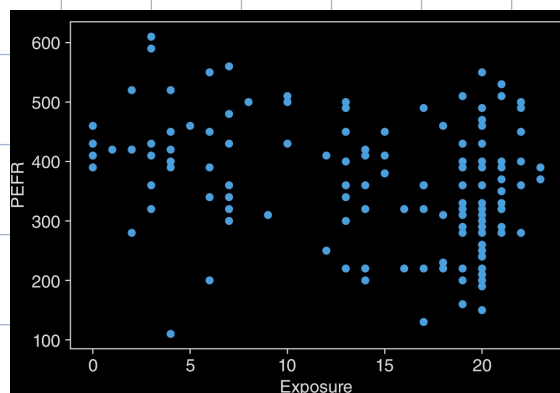
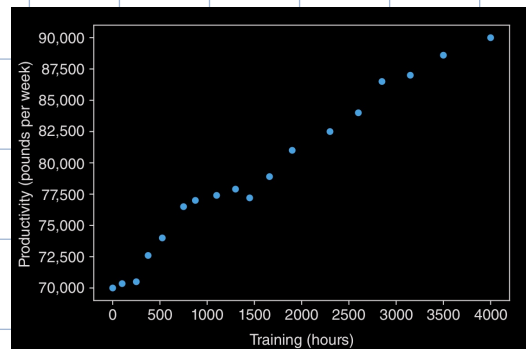
— ○ —

Chapter 3 Correlation

$(x_i, y_i) \quad i = 1, 2, \dots, n$

Table 9.1 Training and productivity at Delta Wire.

Total Training Hours Cumulative	Productivity Pounds per Week
0	70,000
100	70,350
250	70,500
375	72,600
525	74,000
750	76,500
875	77,000
1100	77,400
1300	77,900
1450	77,200
1660	78,900
1900	81,000
2300	82,500
2600	84,000
2850	86,500
3150	87,000
3500	88,600
4000	90,000



Pearson Correlation Coefficient: $-1 \leq r = \frac{\text{cov}(X, Y)}{s_x \cdot s_y} = \frac{\sum_{i=1}^n (x_i - \bar{x})(y_i - \bar{y})}{(n-1) \cdot s_x \cdot s_y} \leq 1$

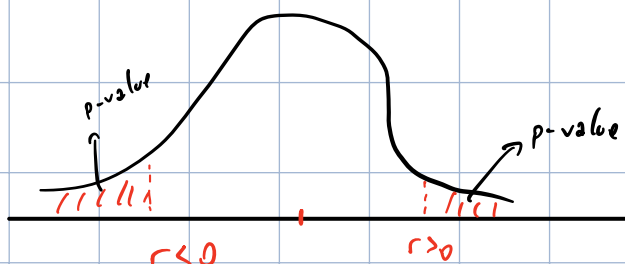
X has $\bar{x}, s_x$

Y has $\bar{y}, s_y$

correlation is between -1 and 1.
if ≥ 0 , positive correlation, else negative correlation.

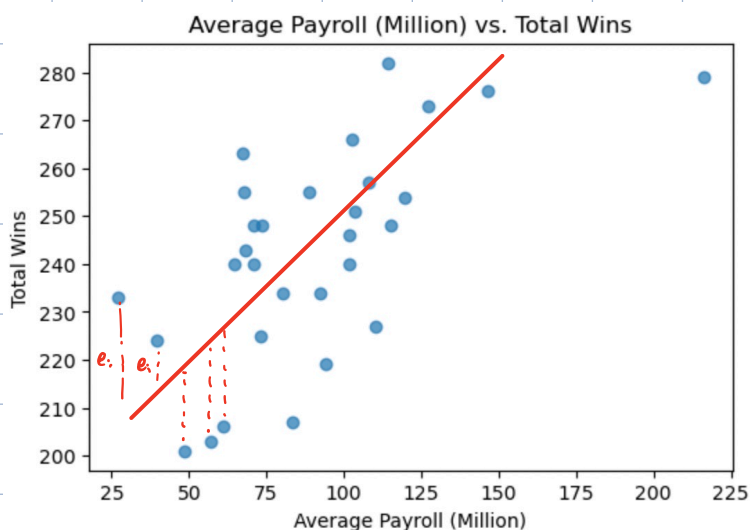
H_0 : There is absolutely no association between X and Y.

- Find a p-value. (Permutation test)



If there is correlation, then

$$y = ax + b$$



$$y = \beta_0 + \beta_1 x$$

$$\hat{y} = \beta_0 + \beta_1 x$$

$$(x_i, y_i), \hat{y}_i = \beta_0 + \beta_1 x_i, e_i = y_i - \hat{y}_i$$

$$S(\beta_0, \beta_1) = \sum_{i=1}^n e_i^2 = \sum_{i=1}^n (y_i - \beta_0 - \beta_1 x_i)^2$$

Sum of Squared Errors

Goal: $\min_{\beta_0, \beta_1} S(\beta_0, \beta_1)$ unconstrained optimization

$$\frac{\partial S}{\partial \beta_0} = 0, \quad \frac{\partial S}{\partial \beta_1} = 0$$

$$\begin{aligned} \frac{\partial S}{\partial \beta_0} &= \sum_{i=1}^n (-2) \cdot (y_i - \beta_0 - \beta_1 x_i) = 0 \\ \sum_{i=1}^n y_i - \sum_{i=1}^n \beta_0 - \beta_1 \sum_{i=1}^n x_i &= 0 \\ \frac{1}{n} \sum_{i=1}^n y_i - \beta_0 - \beta_1 \cdot \frac{1}{n} \sum_{i=1}^n x_i &= 0 \\ \bar{y} - \beta_0 - \beta_1 \bar{x} &= 0 \end{aligned}$$

$$\boxed{\beta_0 = \bar{y} - \beta_1 \bar{x}}$$

$$\begin{aligned} \frac{\partial S}{\partial \beta_1} &= \sum_{i=1}^n (-2 x_i) \cdot (y_i - \beta_0 - \beta_1 x_i) = 0 \\ &= \sum_{i=1}^n (y_i x_i - \underbrace{x_i \beta_0}_{\text{insert } \beta_0} - \beta_1 x_i^2) = 0 \\ &= \sum_{i=1}^n (y_i x_i - (\bar{y} - \beta_1 \bar{x}) x_i - \beta_1 x_i^2) = 0 \\ &= \sum_{i=1}^n y_i x_i - \underbrace{\bar{y} \sum_{i=1}^n x_i}_{n \cdot \bar{x}} + \underbrace{\beta_1 \bar{x} \sum_{i=1}^n x_i}_{n \cdot \bar{x}} - \beta_1 \sum_{i=1}^n x_i^2 = 0 \\ &= \sum_{i=1}^n y_i x_i - n \cdot \bar{x} \bar{y} + \beta_1 n \bar{x}^2 - \beta_1 \sum_{i=1}^n x_i^2 = 0 \end{aligned}$$

$$\sum_{i=1}^n y_i x_i - n \bar{x} \bar{y} = \beta_1 \left(\sum_{i=1}^n x_i^2 - n \bar{x}^2 \right)$$

$$\beta_1 = \frac{\sum_{i=1}^n y_i x_i - n \bar{x} \bar{y}}{\sum_{i=1}^n x_i^2 - n \bar{x}^2} = \frac{\sum_{i=1}^n (x_i - \bar{x})(y_i - \bar{y})}{\sum_{i=1}^n (x_i - \bar{x})^2}$$

$$\beta_1 = \frac{\text{cov}(x, y)}{\text{var}(x)}$$

$$r = \frac{\text{cov}(x, y)}{s_x \cdot s_y}$$

$$\beta_1 = r \cdot \frac{s_y}{s_x}$$

$$SST = \sum_{i=1}^n (y_i - \bar{y})^2 \leftarrow \text{var}(y) \cdot (n-1) \quad (\text{mean } y \text{'den farkı})$$

total sum of squares

$$SSR = \sum_{i=1}^n (\hat{y}_i - \bar{y})^2$$

sum of squares of regression

(regression line'in mean'den farkı)

$$SSE = \sum_{i=1}^n (y_i - \hat{y}_i)^2 = \sum_{i=1}^n e_i^2$$

sum of squared errors

$$SST = \underbrace{SSR}_{\text{total explained by regression}} + \underbrace{SSE}_{\text{unexplained part}}$$

$$\text{Define } R^2 = \frac{SSR}{SST} \quad \text{ratio of the explained variance}$$

For single variable linear regression, $R^2 = r^2$

$$0 \leq R^2 \leq 1$$

$$MEDV = \beta_0 + \beta_1 \cdot CRIM + \beta_2 \cdot RM$$

```
[8]: import statsmodels.api as sm

df.head()
X = df[["CRIM", "RM"]] #inputs
y = df["MEDV"] #output
```


Multi-Variable

OLS : Ordinary Least Squares

$$(x_1^i, \dots, x_k^i, y^i), \dots, (x_1^n, \dots, x_k^n, y^n)$$

k features
 n data points

→ not exact solution, but a close prediction
regression model $\hat{y}^i = \hat{\beta}_0 + \hat{\beta}_1 x_1^i + \dots + \hat{\beta}_m x_m^i = (x^i)^T \cdot \hat{\beta}$

$$e^i = y^i - \hat{y}^i$$

$$\underbrace{\text{minimize}_{\beta_0 \dots \beta_m}}_{\beta} \sum_{i=1}^n (e^i)^2 = \min_{\beta} \sum_{i=1}^n (y^i - \hat{y}^i)^2 = \sum_{i=1}^n (y^i - (x^i)^T \cdot \hat{\beta})^2$$

→ vectors

$$\beta = \begin{bmatrix} \beta_0 \\ \beta_1 \\ \vdots \\ \beta_k \end{bmatrix}_{(k+1) \times 1} \quad x^i = \begin{bmatrix} 1 \\ x_1^i \\ x_2^i \\ \vdots \\ x_k^i \end{bmatrix}_{(k+1) \times 1}$$

$$\text{Define } X = \begin{bmatrix} 1 & x_1^1 & \dots & x_k^1 \\ \vdots & \vdots & & \vdots \\ 1 & x_1^n & \dots & x_k^n \end{bmatrix}_{n \times (k+1)} \quad Y = \begin{bmatrix} y^1 \\ \vdots \\ y^n \end{bmatrix}_{n \times 1}$$

$$\sum_{i=1}^n (e^i)^2 = \underbrace{(Y - XB)^T}_{(1 \times n)} \cdot \underbrace{(Y - XB)}_{(n \times 1)} \quad (1 \times n) \cdot (n \times 1) = (1 \times 1)$$

$$\min_{\beta} (Y - XB)^T \cdot (Y - XB) = f(\beta)$$

→ by changing β

$$\begin{bmatrix} \frac{\partial f(\beta)}{\partial \beta_0} \\ \vdots \\ \frac{\partial f(\beta)}{\partial \beta_m} \end{bmatrix} = 0$$

∇f : gradient of f
set $\nabla f = 0$

$$\hat{\beta} = (X^T X)^{-1} X^T Y$$

$$y = \beta_0 + \beta_1 x_1 + \dots + \beta_k x_k + \epsilon$$

If errors satisfy the assumptions (else bootstrapping)

$$s^2 = \frac{\sum_{i=1}^n \epsilon_i^2}{n - (k+1)} \quad \text{estimated variance}$$

$\text{var}(\hat{\beta}) = s^2 (X^T X)^{-1} \rightarrow \text{result is a square matrix}$

$\begin{bmatrix} \cdot & \cdot & \cdot \\ \cdot & \cdot & \cdot \\ \cdot & \cdot & \cdot \end{bmatrix}$ covariances

standard error

$$se(\hat{\beta}_j) = \sqrt{\text{var}(\hat{\beta})_{jj}}$$

$$CI = \hat{\beta} \pm t_{n-k-1} \cdot se(\hat{\beta})$$

t kullanmanın nedeni: estimated variance kullanmıyoruz. variance'ı bilseydik 2 kullanırdık.

kayıt tarafında iki variable ile regression, matrix tersi alma vs.
sonra kod tarafında doğrulama